IN THE NATIONAL COMPANY LAW TRIBUNAL,
DIVISION BENCH - II, CHENNAI

CA(CAA)/22(CHE)/2025

(Under Sections 230 to 232 of the Company Act, 2013

In the matter of Scheme of Arrangement between Spencer International Hotels Limited and its members

SPENCER INTERNATIONAL HOTELS LIMITED
CIN: U55101TN1977PLC007621
Registered Office: Flat 2-B, Queen Court,
2nd Floor, No.98-145, Montieth Road,
Egmore, Chennai – 600 008.

…Applicant Company

and its Members.

Order Pronounced on 05th June 2025

CORAM:

JYOTI KUMAR TRIPATHI, MEMBER (JUDICIAL)
RAVICHANDRAN RAMASAMY, MEMBER (TECHNICAL)

Present:
For Applicants: *Mr.P.S.Suman, Advocate, Ms.V.Amrutha, Advocate*

ORDER

This is a Company Application filed by **Spencer International Hotels Limited** (hereinafter referred to as the "Applicant Company") and its Shareholders & Members under section 230-232 of Company Act, 2013 and other applicable provisions of the Company Act, 2013 read with Company (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Arrangement (hereinafter referred to as the "SCHEME") proposed by the Applicant Company herein with its Shareholders. The Scheme is placed in **Page 172-184** of the Application Typeset.

2. The Applicant Company in this Company Application have sought for the following reliefs;

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
APPLICANT COMPANY	To Dispense with the meeting	N/A	N/A
RESULTING COMPANY	N/A	N/A	N/A

3. It is stated that in 1984 the Applicant Company had entered into a licence agreement with Indian Hotels Company Limited (Taj Hotels) which subsequently in 2009 demerged its Connemara Hotel in Chennai into Grand Royal Enterprises Limited. The Applicant Company derives its licence fee income from the two hotel properties but has no expense commitment towards the maintenance of the hotels. Thus, the Applicant has been demonstrating consistent growth, sustained improvement in profits and robust cash generation, thereby the Applicant company has built up reserves from the retained profits.

4. Hence, the applicant Company proposes to transfer an amount of Rs. Rs.2,63,44,600/- (Rupees Two Crores Sixty-Three Lakhs Forty four Thousand Six Hundred only) lying in the General Reserves under the Reserves and Surplus head in the liabilities side of the Balance Sheet of the Company as on 31.03.2024 to enable, inter alia, pay out to the Members in such manner and to such extent as the Board in its sole discretion may decide from time to time and in accordance with the provisions of the Act and other applicable laws.

5. The **RATIONALE OF THE SCHEME** as mentioned in Part-B of the Scheme is as under:

4. Reclassification and Utilization of the General Reserves

4.1. The General Reserves of the Company, as of the Appointed Date being Rs.2,63,44,600/- (Rupees Two Crores Sixty-Three Lakhs Forty-four Thousand Six Hundred only) have been, primarily, built up over the years through the transfer of profits to the reserves by the Company (prior to declaration of dividend) in accordance with the provisions of the Companies Act, 1956 and the erstwhile rules notified thereunder, namely, the Companies (Transfer of Profits to Reserves) Rules, 1975.

4.2. Upon this Scheme becoming effective and with effect from the Appointed Date, the entire amount of Rs. 2,63,44,600/- (Rupees Two Crores Sixty Three Lakhs Forty Four Thousand Six Hundred only) standing to the credit of the General Reserves of the Company shall be reclassified and credited to the full to the Profit and Loss Account of the Company, and subsequent thereto, such amounts credited to the 'Profit and Loss Account' of the Company shall be reclassified as and constitute accumulated profits of the Company for the previous financial years, arrived at after providing for depreciation in accordance with the provisions of the Act and remaining undistributed in the manner provided in the Act and other applicable laws. It is clarified that such amounts shall be available for utilisation by the Company in relation to any Payout in the manner set out in Clause 5 below.

5. Payout to Surplus Funds to Members

5.1. Upon the Scheme becoming effective and subsequent to the reclassification of the amounts standing to the credit of the General Reserves and credit thereof to the 'Profit and Loss Account' pursuant to Clause 4 of the Scheme, the amount so credited may be paid out to the Members of the Company, from time to time, by the Board of Directorss, at its sole discretion, in such manner, quantum and at such time as the Board of Directors may decide (each such event constituting a "Payout").

5.2. Each payout of surplus funds including the quantum, manner and timing thereof shall be undertaken in accordance with the provisions of the Act, the Scheme and other applicable laws taking into account all relevant factors including applicable regulatory and fiscal considerations, the nature and quantum of each Payout and subject to payment of applicable taxes.

6. DETAILS OF SPENCER INTERNATIONAL HOTELS PRIVATE LIMITED (APPLICANT COMPANY)

6.1. It is stated that the Applicant Company namely **Spencer International Hotels Limited** is a Public Limited Company incorporated under the provisions of the Company Act, 1956 on 21.01.1977 with CIN:**U5510TN1977PLC007261**. The Company incorporated as a Private Limited Company under the name 'Spencer International Hotels Private Limited' was later on converted as as Public Limited Company under the present name 'Spencer International Hotels Limited w.e.f. 08.08.1978.

6.2. The Authorized/subscribed/paid up Share Capital of the Applicant Company as on 31.03.2024 as stated in the Application are as follows:

Particulars	Amount in Rs.
Authorised Share Capital	
6,00,000 Equity Shares of Rs.100/- each	6,00,00,000
Total	6,00,00,000
Issued, Subscribed and Paid up Share Capital	
2,05,242 Equity Shares of Rs.100/- each	2,05,24,200
Total	2,05,24,200

6.3. It is submitted that the Applicant Company is engaged in the business of hotels, motels, restaurants, cafes, taverns, refreshment rooms, milk and snack bars, purveyor, caterers, licensed victuallers, boarding and lodging houses, auto courts, holiday camps and apartment, house-keepers, clubs and casinos every sort and kind, to establish shops, canteens, kitchens and any other establishments, and to arrange for and provide all manner of entertainments, amusements, recreation and instructions for the public and guests. Also engaged in the business of purchase, erect acquire, lease, hire, exchange, equip, maintain and improve, alter, operate and manage, hotels,

concert halls, ballrooms, music halls, cinemas, theatrical and opera box offices and holding houses of every kind and sort, including all the conveniences, amenities and facilities connected therewith and to carry out other objects set out in the Memorandum of Association of the Company of the Applicant Company. The detailed objects of the Applicant company are given in Memorandum of Association in page No.21-30 of the application.

7. It is stated that this Application is being filed in relation to a Scheme of Arrangement between Spencer International Hotels Limited (Applicant Company) and its members.

8. Ld. Counsel for the Applicant has stated that, this Tribunal may dispense with the convening, holding and conducting the meeting of Equity Shareholders of the Applicant Company and to direct to send notices of the Scheme to all applicable statutory authorities.

9. Affidavit in support of the above application sworn in, has been effected by Ms. T.N.Gayathri on behalf of the Applicant Company in the capacity of Authorized Signatory. The same is placed along with the Application. It is also represented that the registered office of Applicant Company is situated in the State of Tamil Nadu and therefore it is within the jurisdiction of this Tribunal.

10. We have perused the application and the connected documents/papers filed therewith including the Scheme contemplated by the Applicant Company.

11. The Applicant Company has filed the Memorandum of Association (MOA) and Articles of Association (AOA) *inter alia* describing its object clauses as well as their last available Audited Financial Statements of

Applicant Company for the year ended 31.03.2024 and Provisional/ Unaudited Financial Statements as on 31.12.2024.

12. The Board of Directors of the Applicant Company vide meeting held on 22.01.2025 have unanimously approved the proposed Scheme of Arrangement as contemplated above. (Copies of the resolutions passed thereon have been placed on record by the Applicant Company at page No.170-171.)

13. The Appointed date as specified in the Scheme is **01.04.2024.**

14. The Independent Statutory Auditors has examined the Scheme in terms of provisions of Sec. 232 of Company Act, 2013 and the rules made thereunder and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013. The Accounting Treatment Certificate for the Applicant Company is placed at page No.227- 229 of the application.

15. Taking into consideration the application filed by the Applicant Company and the documents filed therewith as well as the position of law, this Tribunal issues the following directions: -

A. SPENCER INTERNATIONAL HOTELS LIMITED (APPLICANT COMPANY)

I. <u>EQUITY SHAREHOLDERS</u>

(i) It is represented that there are **Seven (07)** Equity Shareholders in the Applicant Company as on 31.12.2024 and the consent affidavits amounting to 100% of shareholding have been obtained and are placed at **Page No.186-223.** The Certificate issued by the Independent Auditor of Applicant Company certifying the list of

Equity Shareholders is placed at **Page No.185** of the Application**.** They have sought for dispensation with holding of meeting.

(ii) Since it is represented by the Applicant Company that there are Seven **(07)** Equity Shareholders in the Company whose consent by way of Affidavits have been obtained and are placed on record, the necessity of convening and holding the meeting is hereby ***dispensed with.***

II. **SECURED & UNSECURED CREDITORS**

(i) It is represented that, there is NIL Secured / Unsecured Creditors in the Applicant Company as on 31.12.2024. A Certificate issued by the independent Auditor certifying that there are **NIL** Secured / Unsecured Creditors in the Applicant Company as on 31.12.2024 is placed at **Page No. 224-226** of the application.

(ii) Since it is represented that there is **NIL** Secured /Unsecured Creditors and the same is certified by the Independent Auditor, the necessity of convening, holding and conducting the meetings with Secured / Unsecured Creditors of the Applicant Company ***does not arise***.

16. Accordingly, the Application stands **ALLOWED.** The Applicant Company are directed to file Application for the Second Motion within a period of fourteen (14) days from the date of receipt of this Order.

-SD-
RAVICHANDRAN RAMASAMY
MEMBER (TECHNICAL)

-SD-
JYOTI KUMAR TRIPATHI
MEMBER (JUDICIAL)

SLA